

Fearnleys Dry Bulk Weekly

Feb 19, 2025

Bernhard Baardson

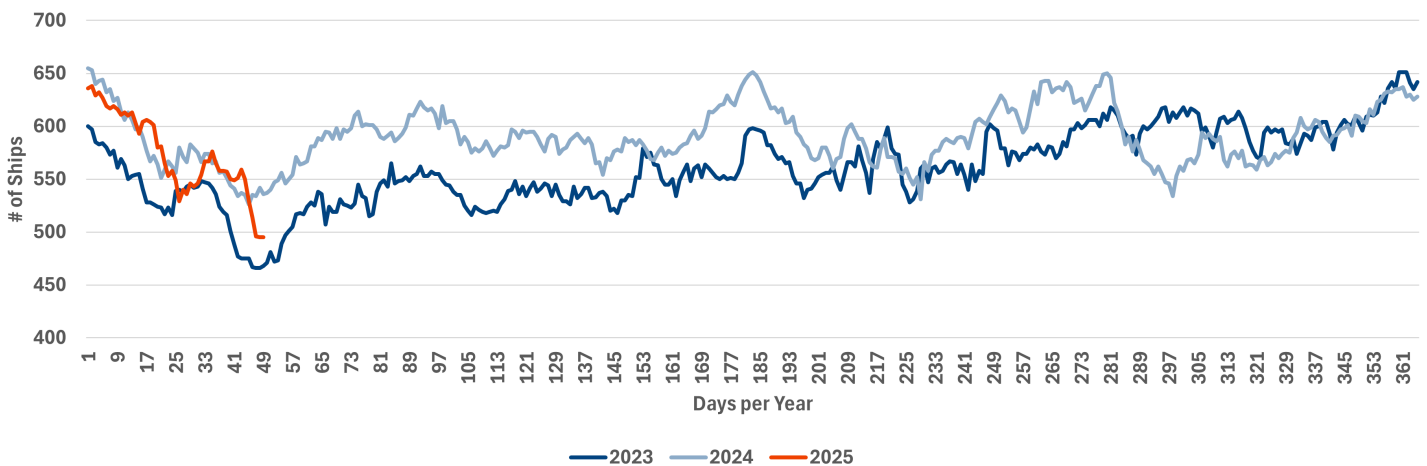
Capesize/Newcastlemax

Last week we wrote the following:

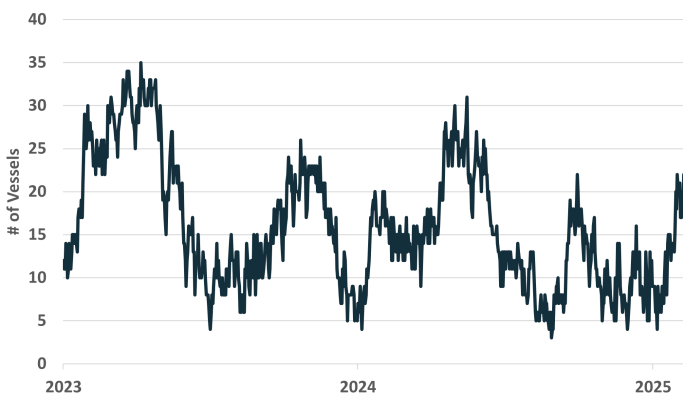
China's imported iron ore consumption rebounded after the holidays, which indicates that a rally will start before the end of this month. The previous comparable periods when China's imported iron ore consumption turned up like now were late February last year, mid-May last year, and late October last year. The market rose over the next weeks each time.

We could be at the start of a rally here, with both C3 and C5 noticeably up. AIS data still looks supportive of a rally, which we have covered in previous reports (report archive found at the bottom of the online version of this report).

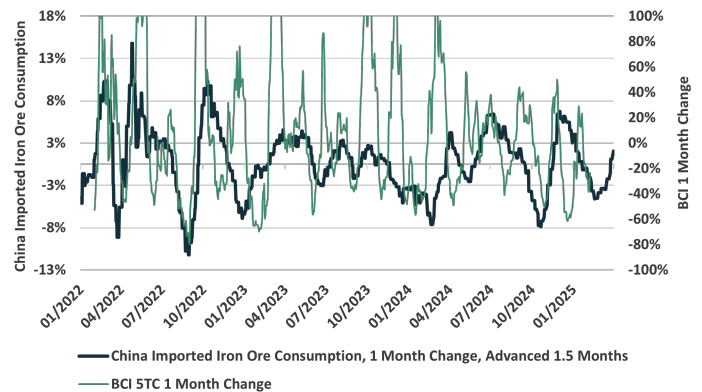
Laden Capesize/Newcastlemax, by Year



VLOCs Waiting to Load in Brazil



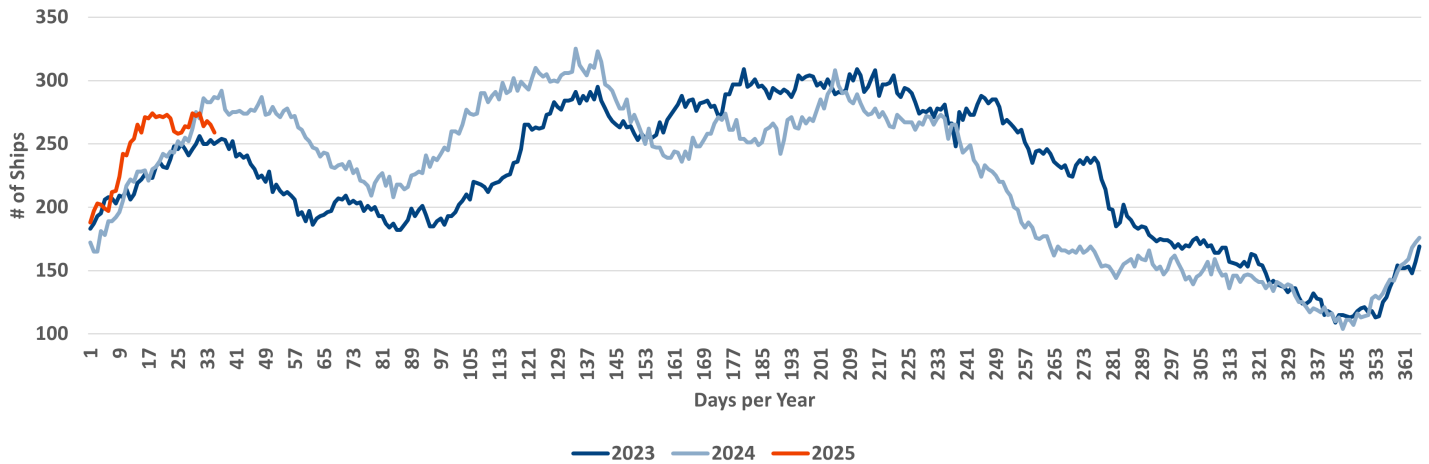
China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change



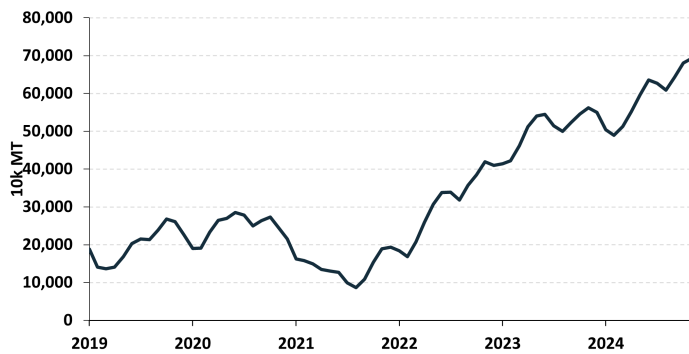
Panamax/Kamsarmax

In last week's report, we were a bit skeptical of further upward momentum due to the slow Brazilian Soybean harvest and weak pacific coal markets. Despite those factors, the market has continued to track average seasonality very closely (lower right chart). Should average seasonality be tracked going forward, the spot index will rise to around 13kpd in mid-March, a move that FFAs are already pricing in.

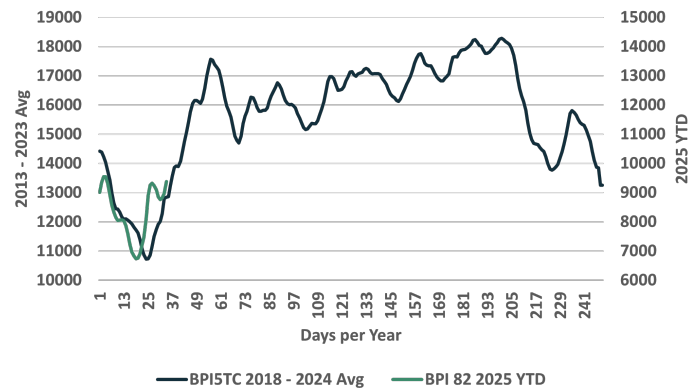
Panamax / Kamsarmax Ballasting to Brazil or Argentina, by Year



China Total Coal Inventories



Kamsarmax Market Seasonality

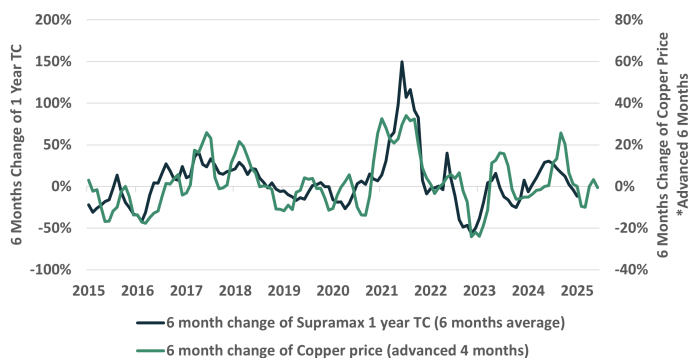


Supramax/Ultramax

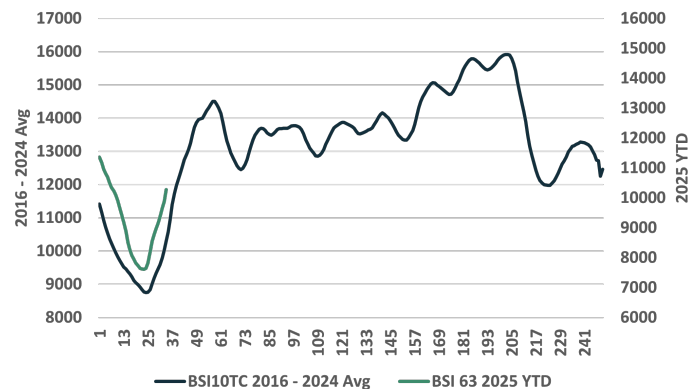
Like in the Panamax/Kamsarmax segment, the market keeps tracking average seasonality closely despite the downside risks (primarily related to Pacific coal markets). The Ultramax spot index will peak at between 13,000 - 14,000 USD pd in mid-March should seasonality continue to be tracked closely.

FFAs are already pricing in this move, which could mean the curve will stop the upward move here.

Copper Price Lead vs Supramax 1 Year TC 6 Months Change

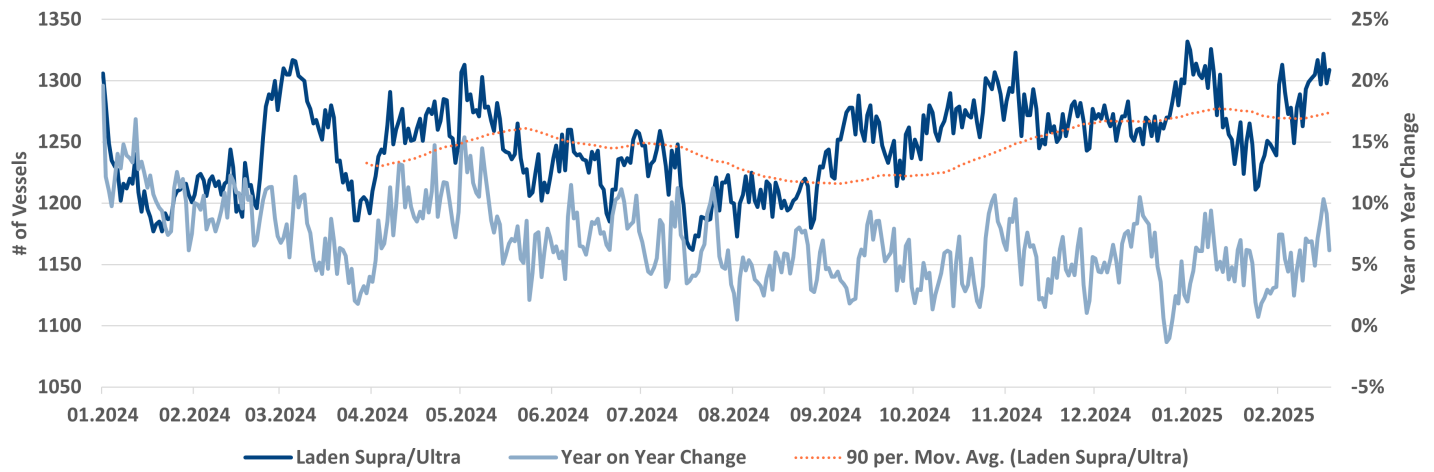


Supramax / Ultramax Seasonal Average





Laden Supramax/Ultramax Vessels, and Year on Year Change





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